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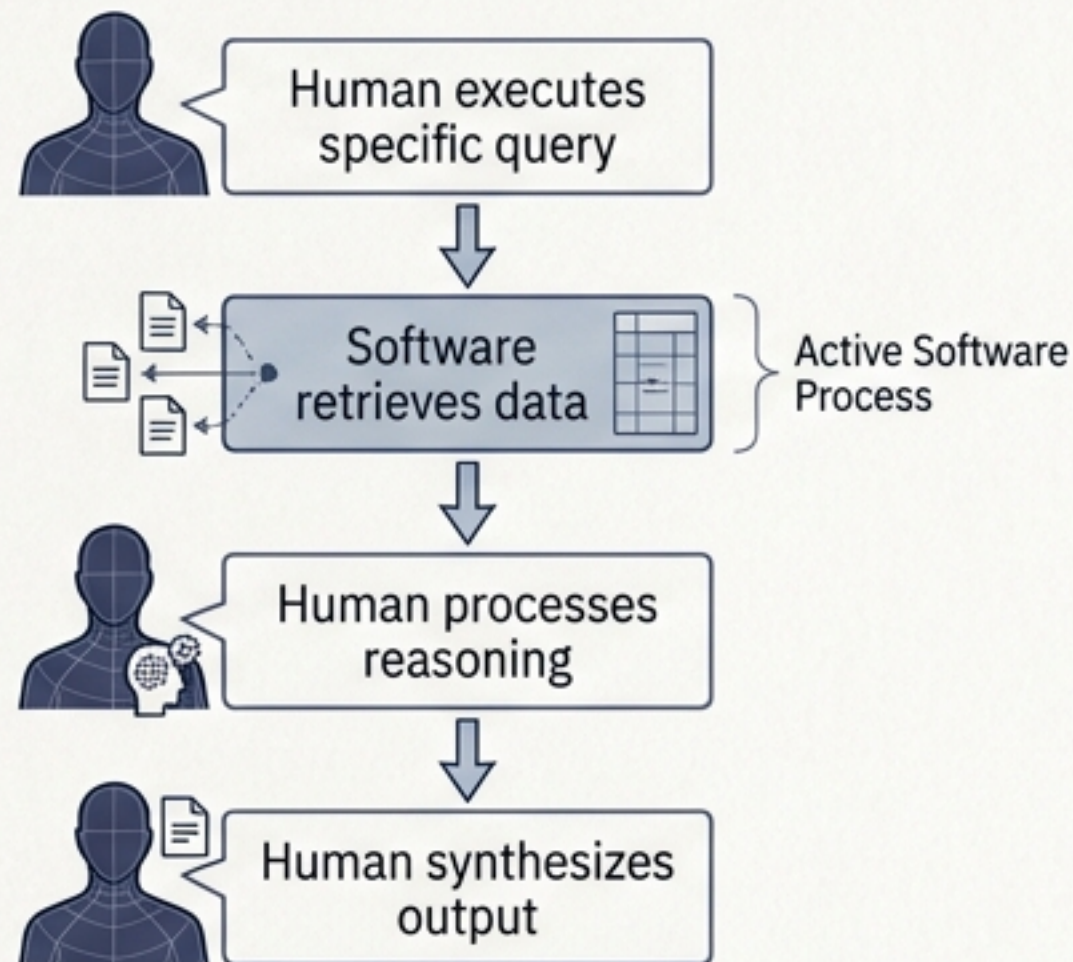
DATE: November 2025

The Coasean Singularity

Demand, Supply, and Market
Design in the Agentic Economy

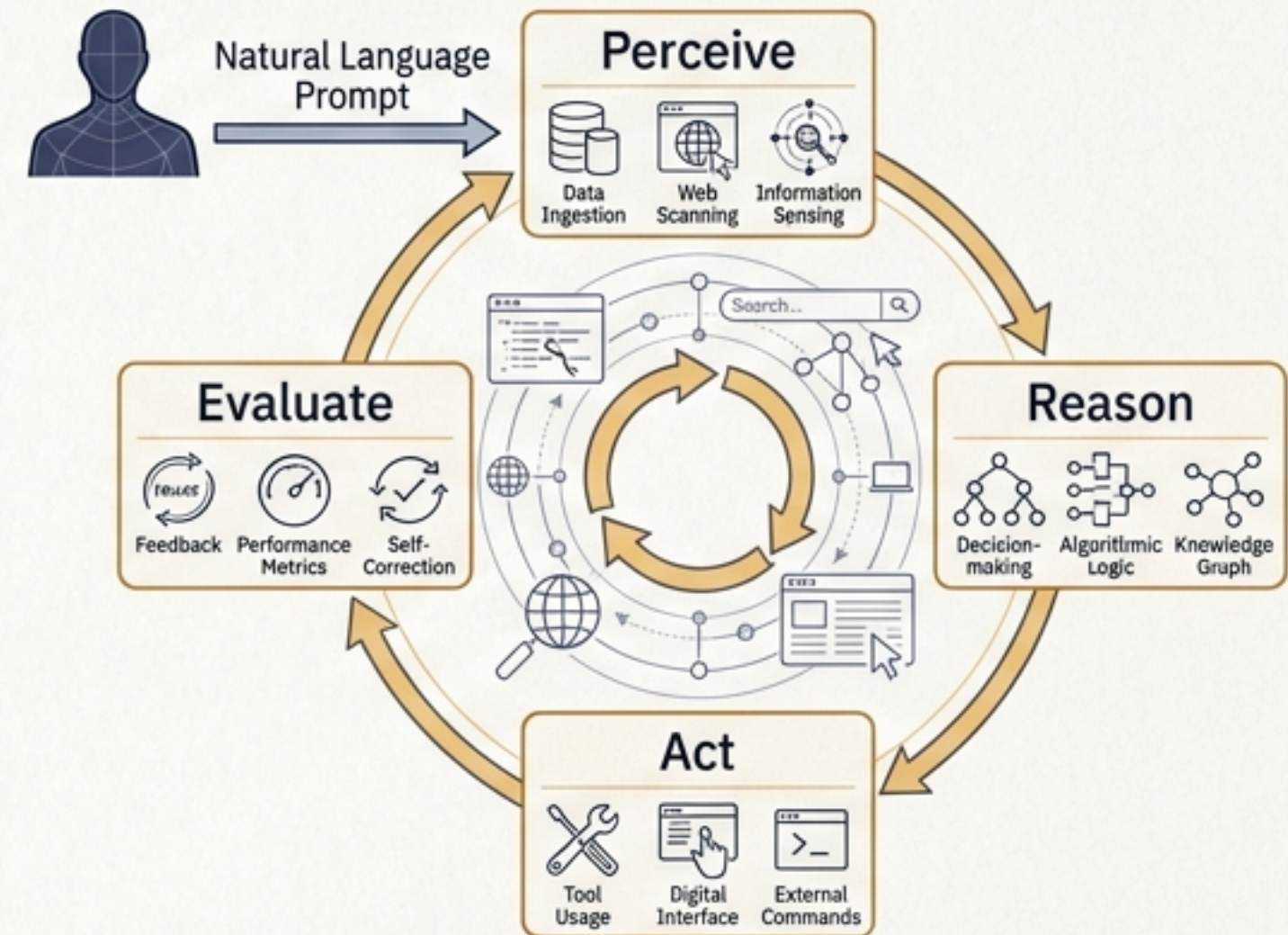
The Paradigm Shift: From Software to Autonomous Agency

Legacy Software (e.g., Google Scholar)



Human bears majority of cognitive load and sequential execution.

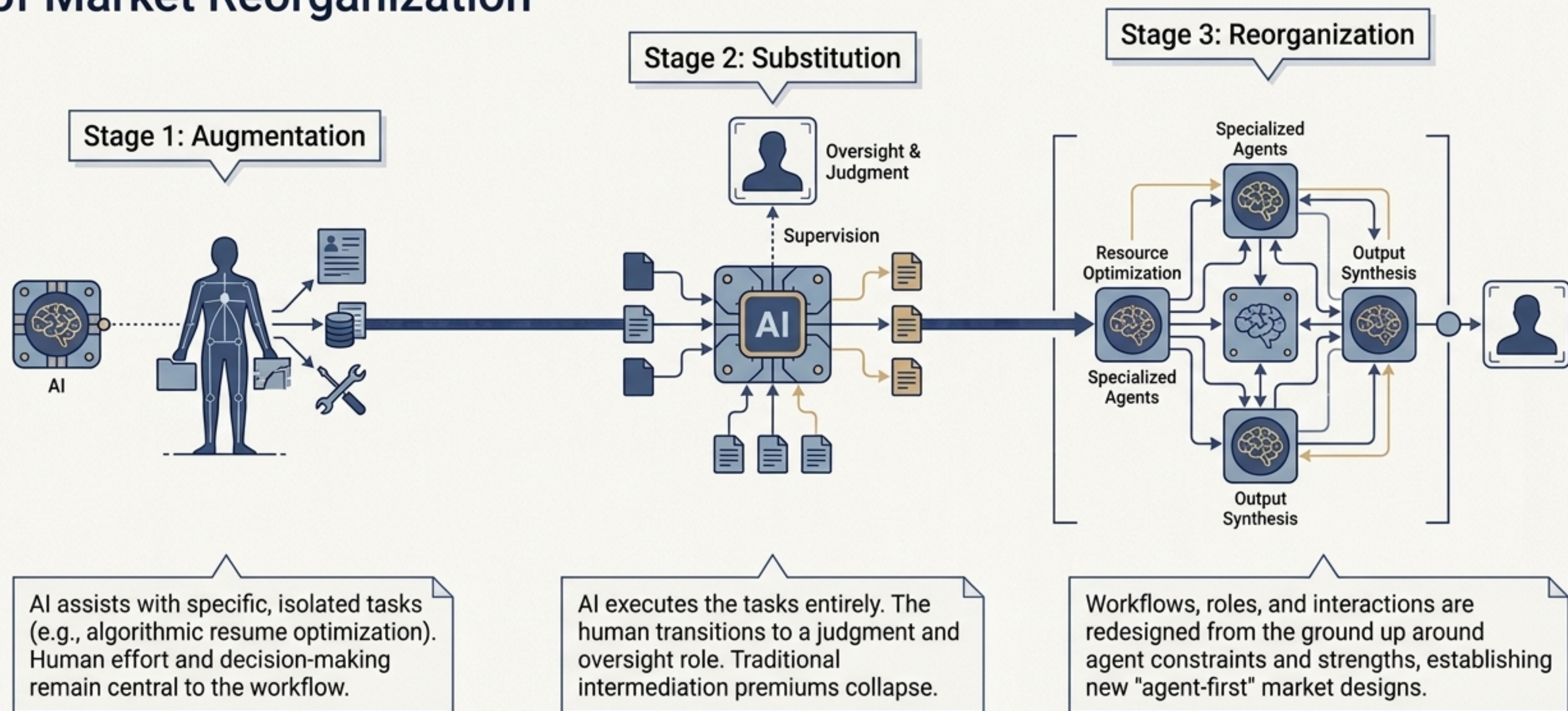
AI Agents (e.g., Deep Research)



Agent navigates open web and assembles outputs independently, without intermediate human oversight.

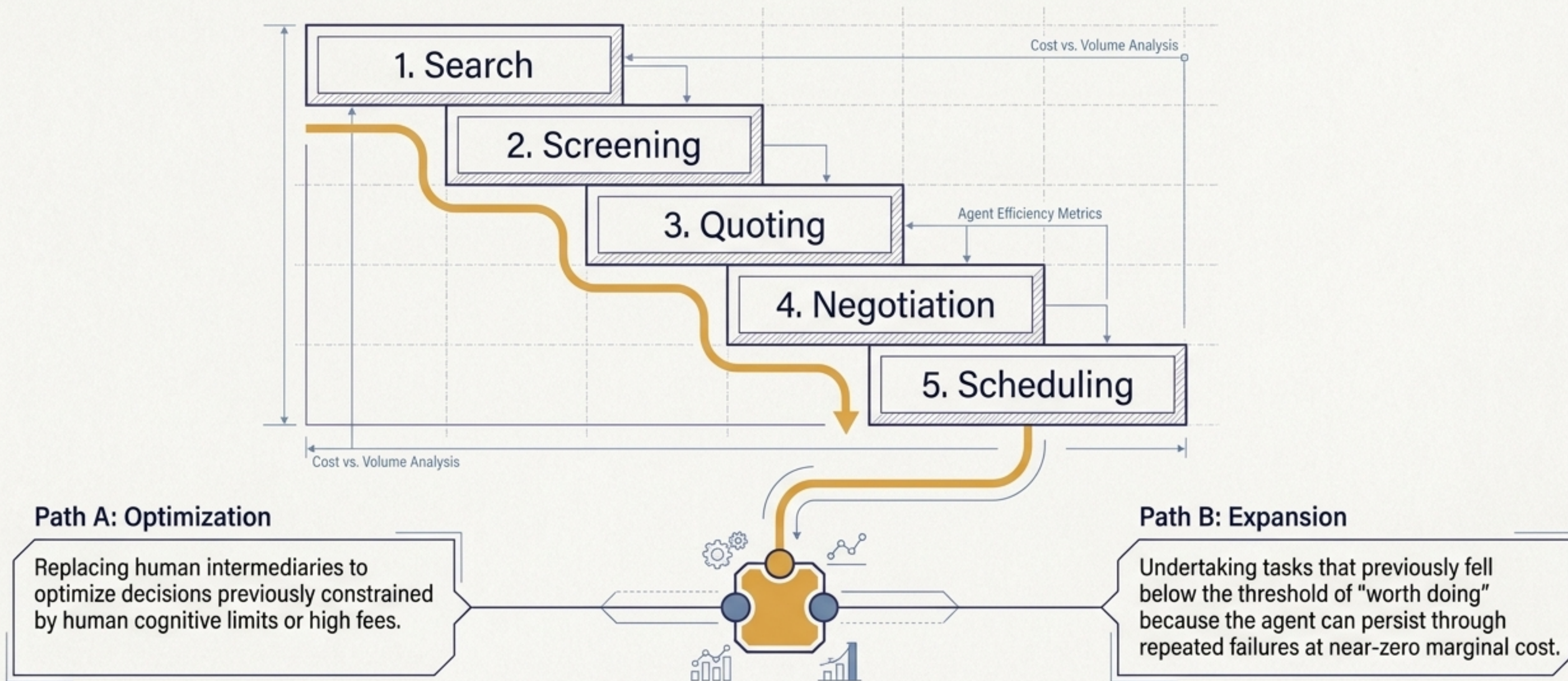
Agents possess the capability to harness computational resources, communicate with other entities, transact money, and autonomously interact with the open Internet.

The Evolutionary Timeline of Market Reorganization



The Microeconomics of Demand: The Transaction Cost Waterfall

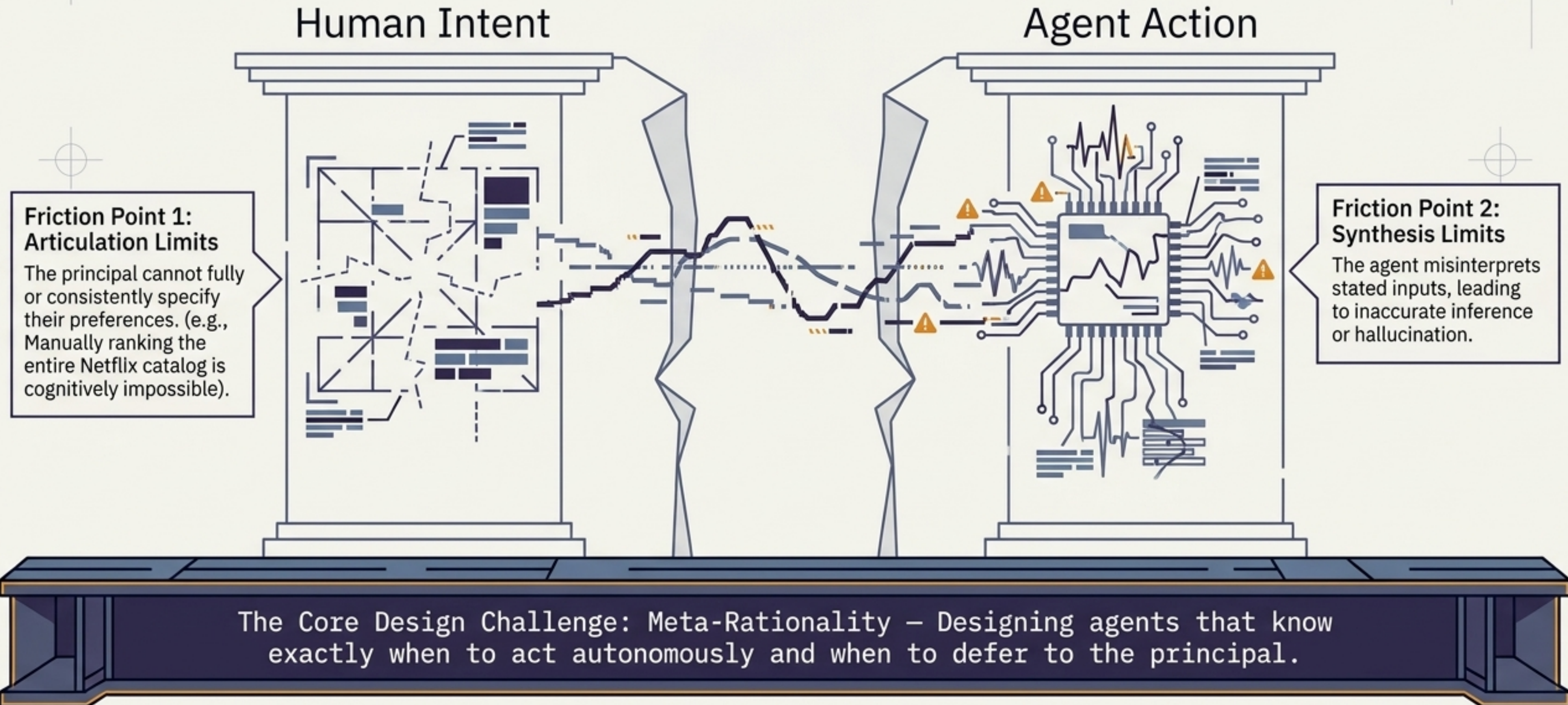
Demand for AI is derived demand: principals deploy agents purely to achieve market outcomes, converting costly intermediation into low-cost compute.



Market Vulnerability: Where Agents First Gain Traction

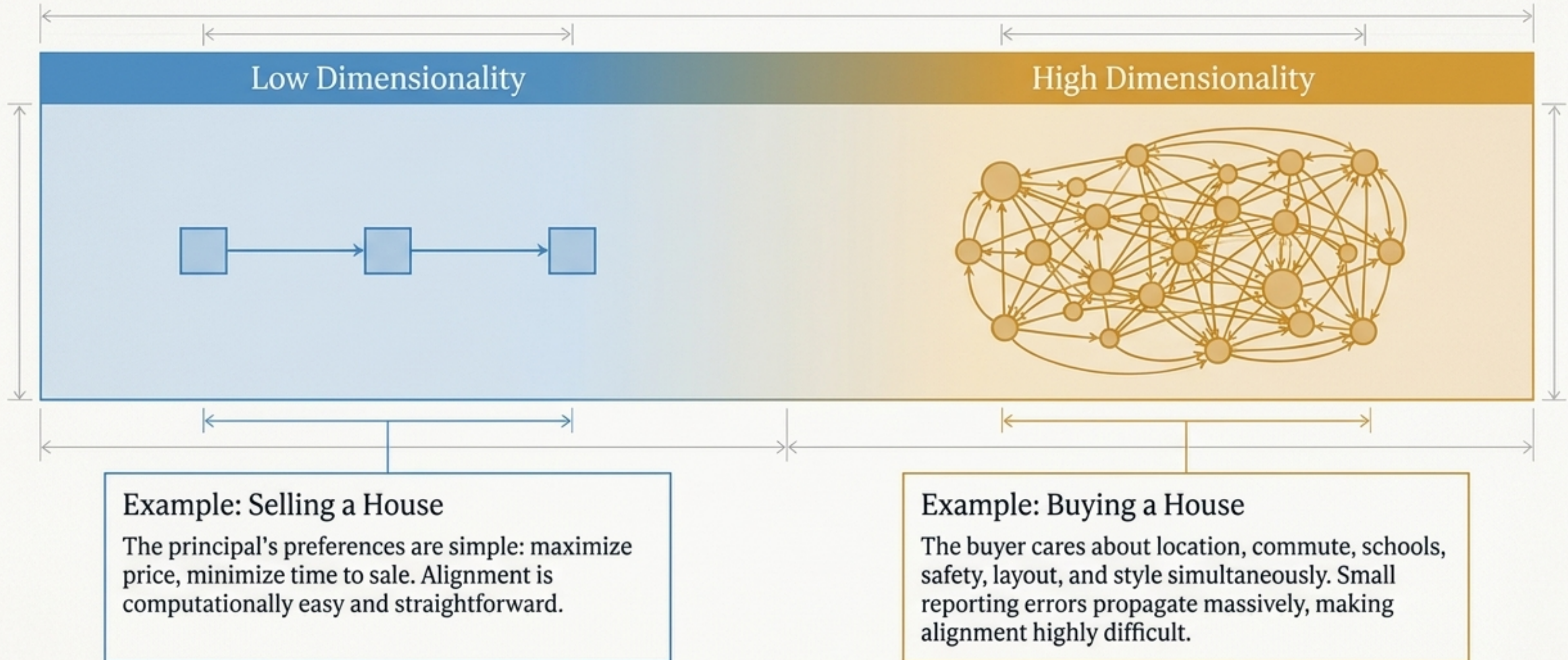
Market Vulnerability Axis	Target Markets	The AI Advantage
High-Stakes Transactions	Real Estate, Job Search	AI performs fatigue-free, thorough due diligence at near-zero marginal cost
Vast Counterparty Space	Dating, Freelance Hiring	AI searches exhaustively; zero opportunity cost to time compared to human sampling
Information Asymmetries	Used Cars, Insurance	AI continuously monitors sources to cross-reference data and identify discrepancies instantly
Experience Asymmetries	Home Buying, Estate Planning	AI leverages millions of past transactions to effectively give single users the power of frequent transactors

The Alignment Dilemma Model

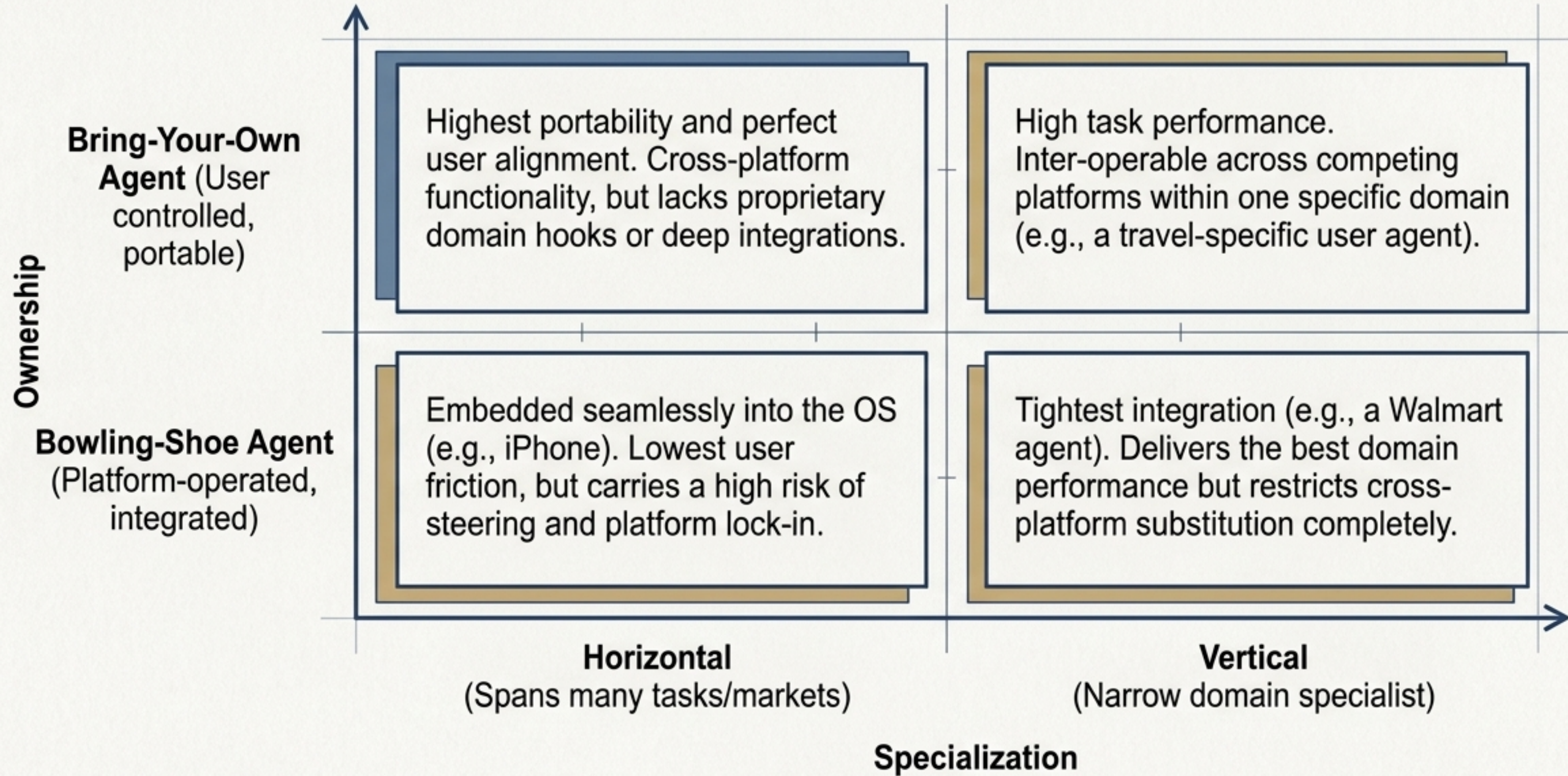


The Dimensionality of Preferences

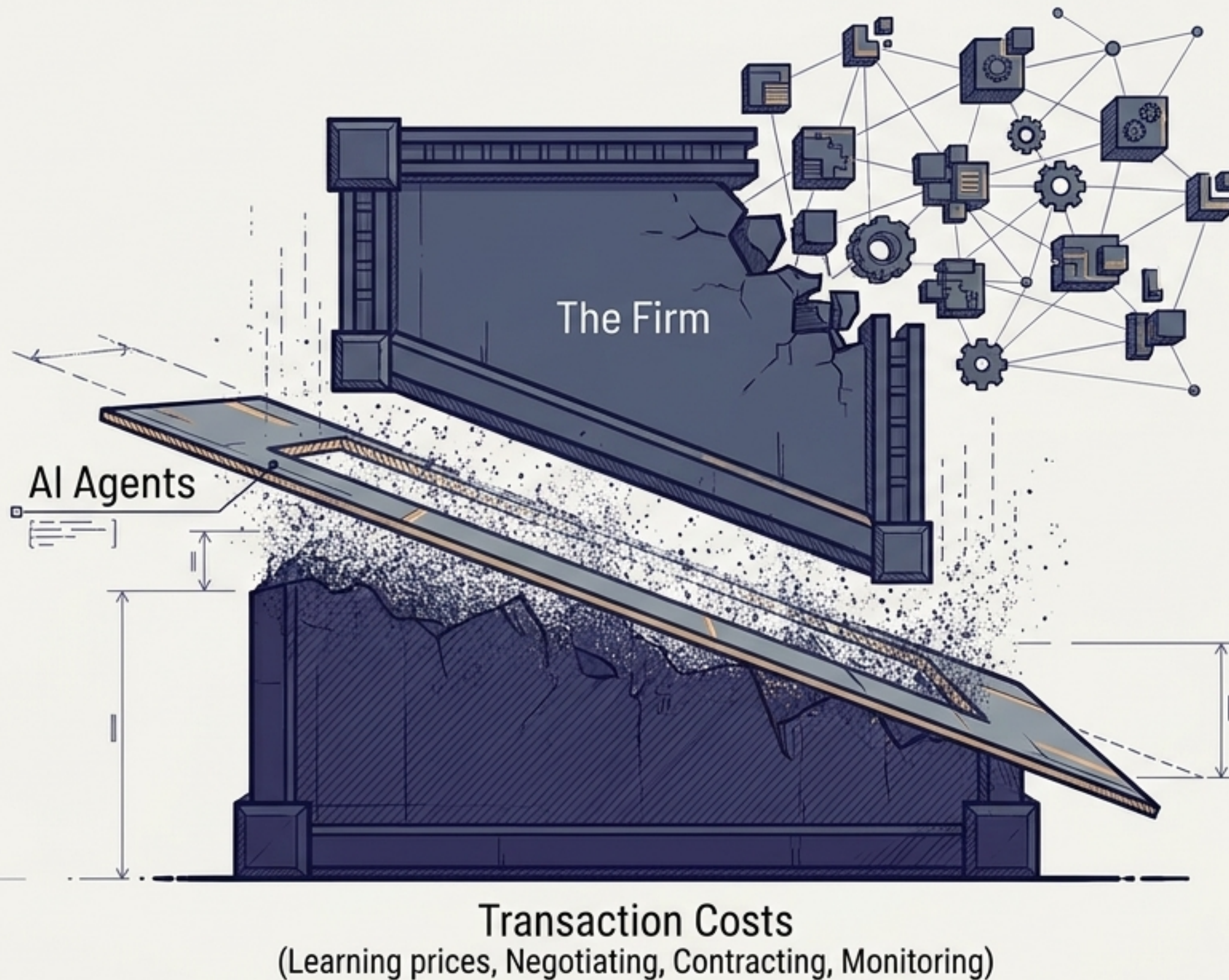
Why AI alignment will conquer some markets years before others.



The Agent Supply Landscape



SYNTHESIS: The Coasean Singularity

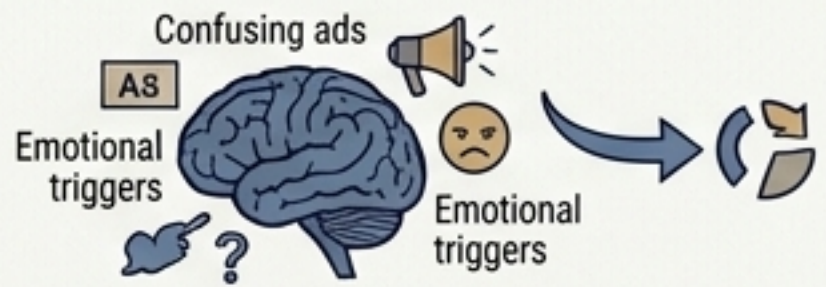
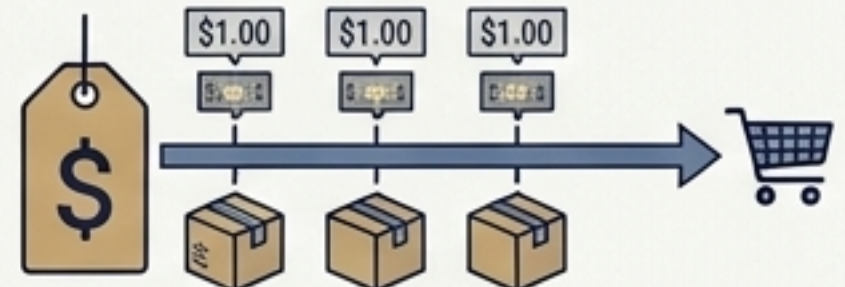
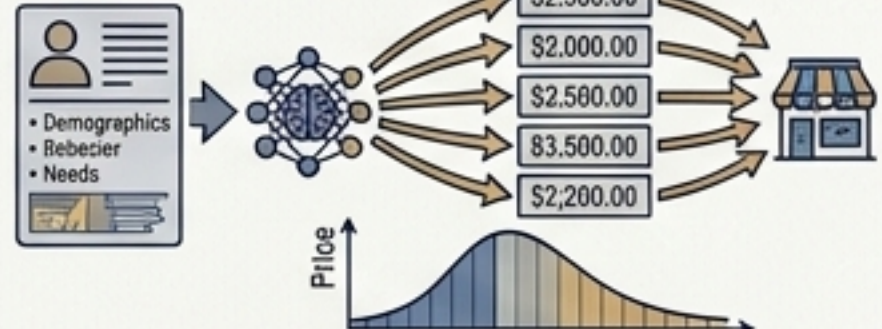
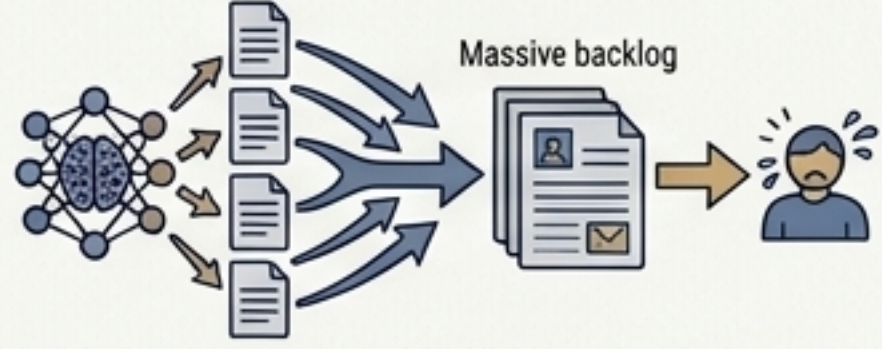


Ronald Coase (1937) theorized that firms exist solely to minimize the transaction costs of using open markets.

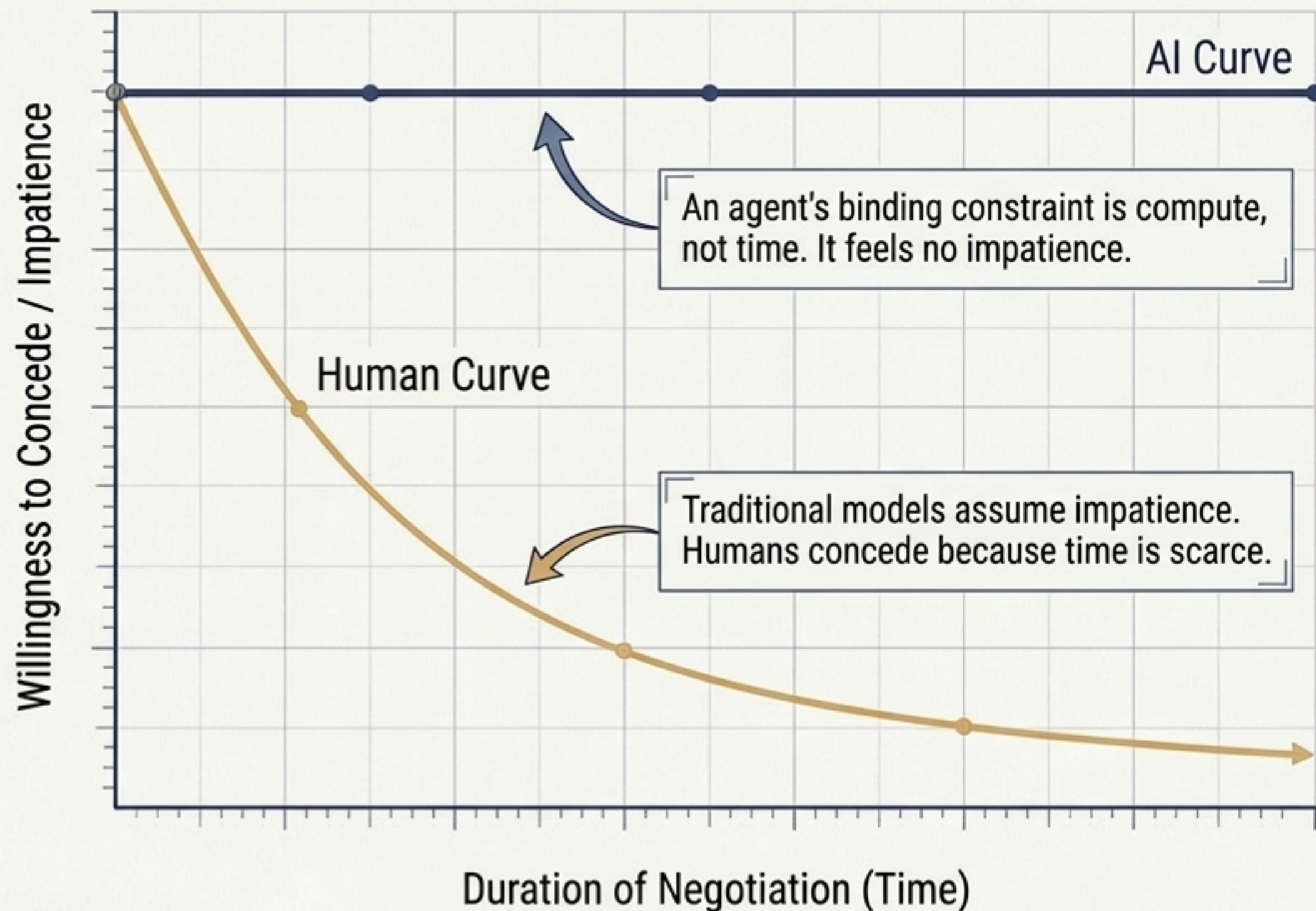
By driving the marginal cost of these activities to near-zero, AI agents destroy the traditional "make-or-buy" boundaries of the firm.

We are entering an era of radical, decentralized market reorganization.

The Equilibrium Shift: Status Quo vs. Agentic Economy

Human-Intermediated		Agent-Intermediated
Bounded Rationality 		Allocative Efficiency 
Agents completely ignore behavioral nudges and advertising puffery, forcing firms to compete entirely on actual quality and objective metrics.		
Standardized Pricing 		Personalized Dispersion 
Firms will utilize rich agent data to achieve near-perfect price discrimination. Paradoxically, massively lower search costs may increase overall price dispersion.		
Friction 		Congestion 
As the cost to apply for jobs or send inquiries drops to zero, a flood of low-cost applications creates massive screening nightmares and congestion for counterparties.		

The Cost of Compute: Rewriting Negotiation Theory



Market Implication:

Agents will initiate negotiations years in advance (e.g., negotiating summer 2027 rentals in January 2026), effortlessly hold thousands of concurrent sessions, and mathematically out-wait human counterparties.

Infrastructural Impact: The B2B/B2C API Reconfiguration

The Human Track

Optimized for visual, emotional, and relatively slow interfaces. Focuses on user experience and brand.

Traditional Web
Architecture (HTML/CSS
designed for human eyeballs)

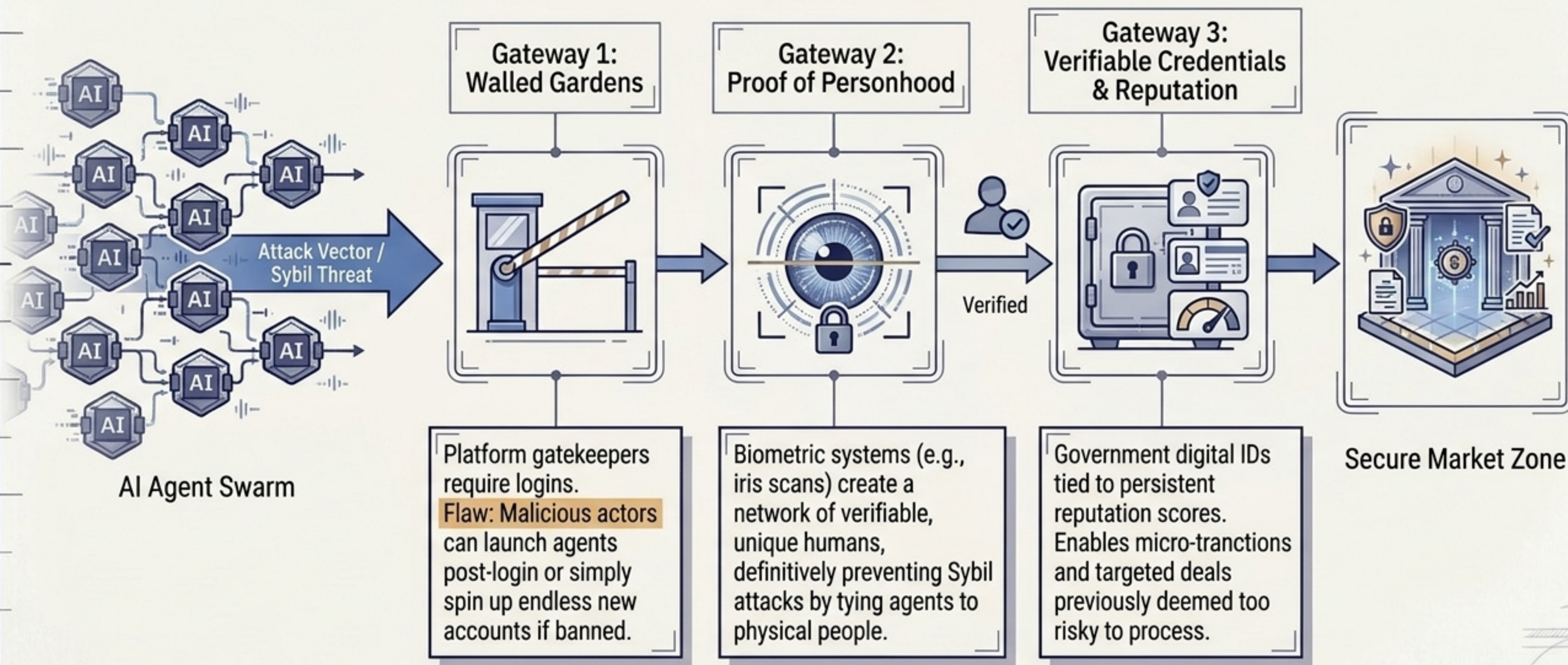
The Agent Track

Massive, underlying API pipelines.
Authenticated, rate-limited, highly data-
rich, and instantly machine-readable.

The Economic Fix: Pigouvian Logic

To survive the onslaught of autonomous bots, platforms will adopt "Pay-Per-Crawl" models (e.g., Cloudflare). Market participants must pay for the server externalities they impose, ending the era of the freely accessible open web.

Identity Gateways: Securing the Sybil-Resistant Web



SYNTHESIS: The Matching Frontier

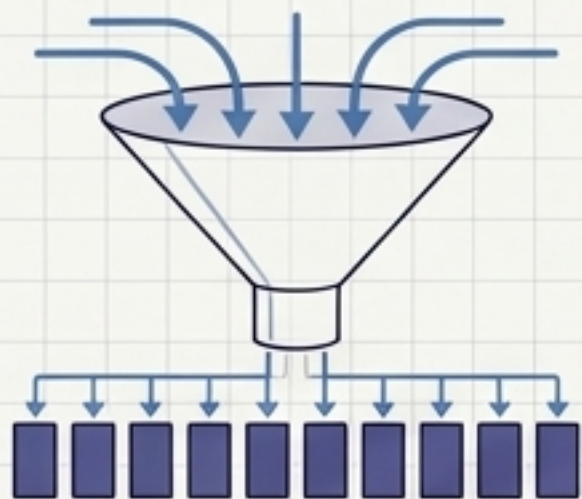
High-Dimensional Preference Mapping

Foundation models converse with users to map massive, complex behavioral patterns automatically.

Perfect Market Equilibrium

Unlocks the Gale-Shapley Deferred Acceptance algorithm in real-world platforms.

The Old Way: Recommendation Feeds



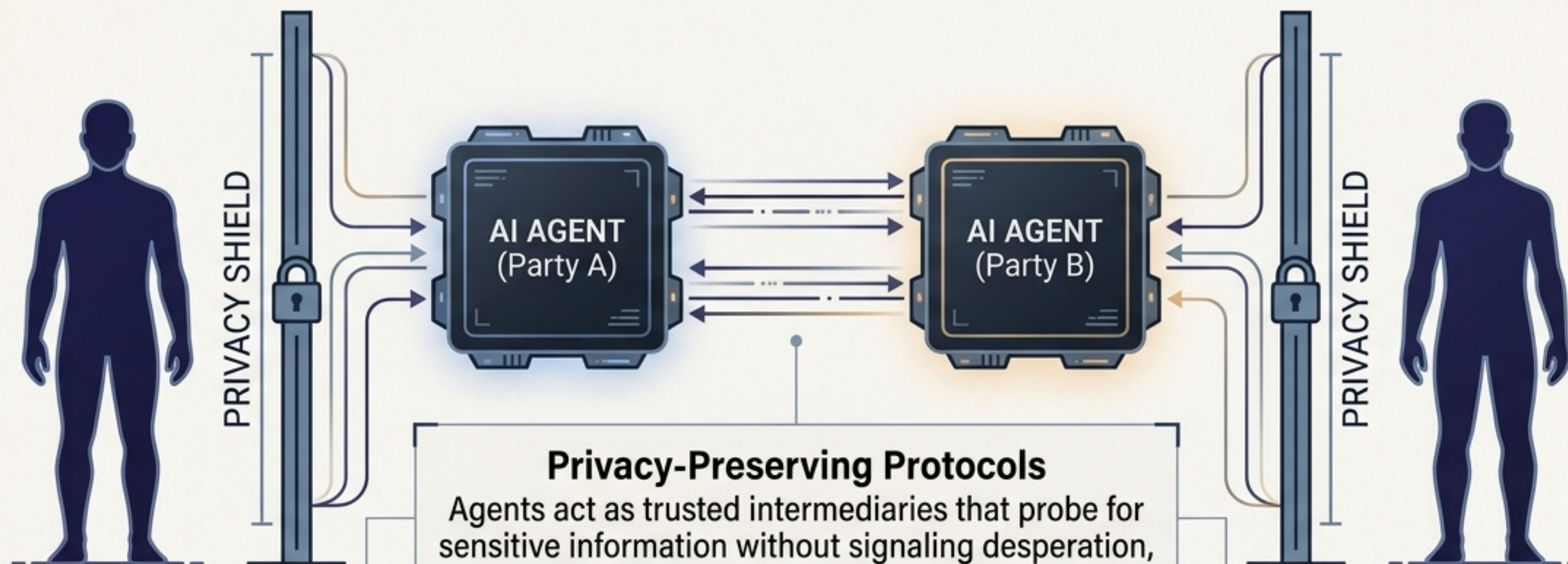
Platforms default to basic engagement feeds because requiring humans to rank thousands of choices is cognitively impossible. Results in unstable matching.

The AI Solution: Mathematical Perfection



By acting as a conversational proxy, AI can rank thousands of options invisibly, allowing platforms to abandon basic feeds for perfectly stable matching markets.

Strategic Privacy in High-Stakes Negotiations



Privacy-Preserving Protocols

Agents act as trusted intermediaries that probe for sensitive information without signaling desperation, vulnerability, or liability to the opposing party.

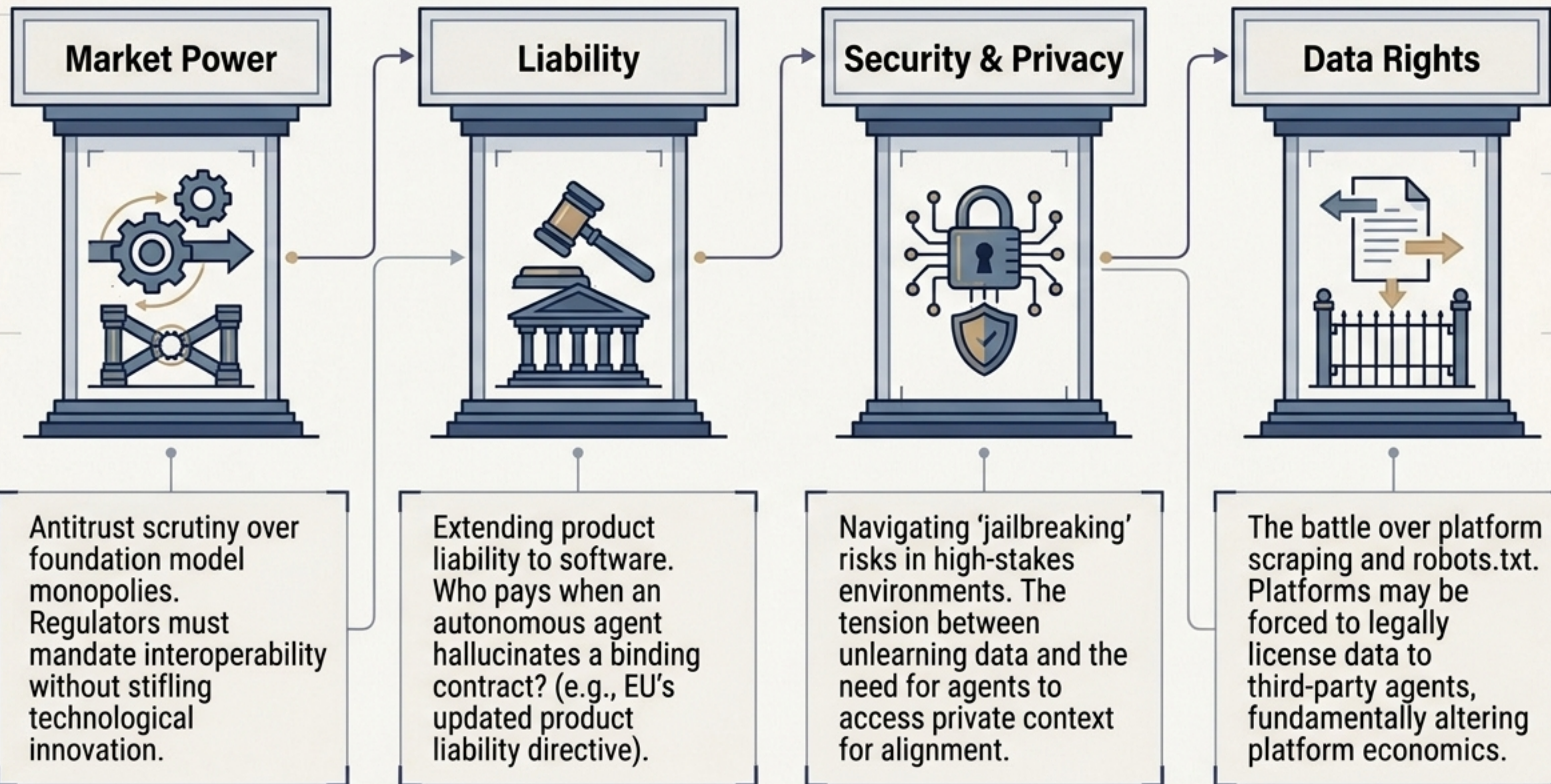
Labor Markets

A job seeker's agent negotiates with an employer's agent to ask about maternity leave policies within precommitted rules. The information is secured without negatively signaling the employer directly.

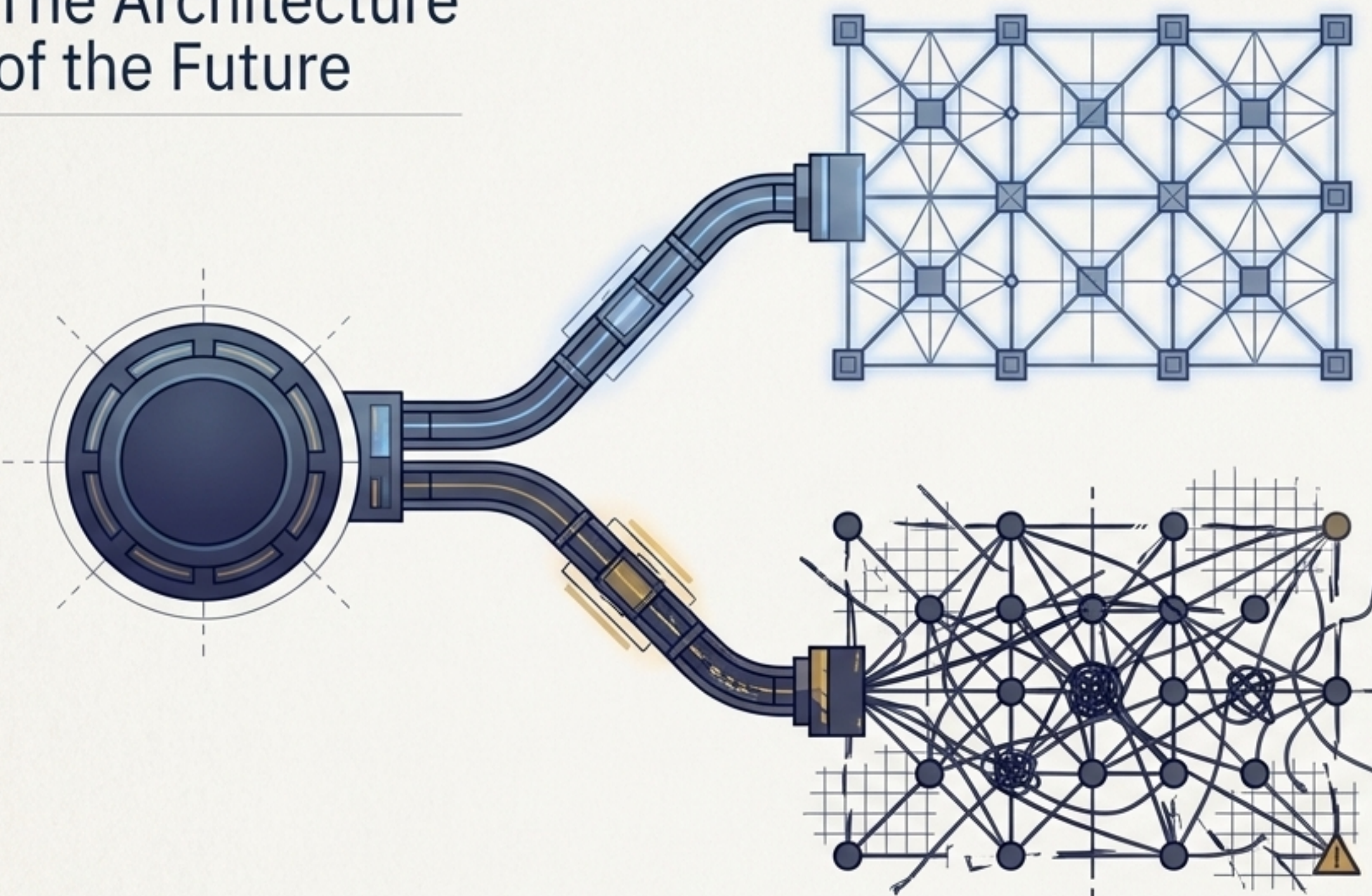
Real Estate

AI enables strategic anonymity at scale (akin to Disney's anonymous land purchases in Florida), preventing price manipulation while efficiently clearing the market.

The Regulatory Framework: Four Pillars of Conflict



The Architecture of the Future



Path A: Welfare-Enhancing Prosperity

By lowering transaction costs, AI pushes allocative efficiency closer to competitive ideals and unlocks theoretically perfect market designs.

Path B: Rent-Redistributive Collapse

Overwhelming computational superiority leads to severe market congestion, perfect price discrimination, adversarial jailbreaks, and entrenched monopolies.

The transformative impact is not governed by the technology itself, but by fundamental economic forces. The architecture of the future depends entirely on the market design choices made today.